

markets. Clearing and settlement can take weeks. Errors in reporting trades are common and difficult to set right. Insider trading, usually allowed abroad, makes you feel you're competing under a handicap. "Financial reports," as *The Wall Street Journal* recently noted, "if they come at all, may not be in English." The currency exposure and deciding whether or not to hedge that exposure and how to carry out the hedging are other important issues. I can assure you that Southeast Asia and Latin America are not places in which the average individual should try to invest by calling up PaineWebber and placing an order. Buying stocks out there is an invitation to a nightmare. There should be a disclaimer, like those you used to see in TV commercials: "This was done by a professional stunt driver. Kids: Don't try this at home!"

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So when it comes to international investing, a mutual fund can be of enormous value. The best mutual fund companies have people who grew up in Japan and Germany and Brazil. They know the cultures as well as the economies. They read reports from abroad two weeks earlier than those dependent on translations. Then the fund sponsors spend big money constantly shipping their people around the world to talk to local brokers and meet with companies.

We need intelligence from abroad when we invest in many U.S. companies as well these days, for you can no longer avoid thinking about the world when you look at home industries. A company's competitors can be based anywhere. When the Soviet Union and the Eastern European bloc decommunized, we saw a demand de-